Loan advances, which usually involve big players, made up around 99 per cent of bank frauds in 2020-21, to the tune of over Rs 1.37 lakh crore, according to the RBI report. The remaining 1 per cent totalled to Rs 1,399 crore worth of frauds, committed by smaller cyber crooks who largely work below the police radar through multiple layers of operators. Assuming 252 working days for banks in a year, these crooks had made an average of Rs 5.5 crore on every bank working day in India in 2020-21.

The RBI's annual report for 2020-21 says the total number and value of frauds suffered by public sector banks (PSBs) fell in 2020-21 from the previous year while it shot up for private banks. PSBs accounted for 59.2 per cent of the total funds defrauded in 2020-21 and private banks 33.5 per cent. The rest involved foreign banks, financial institutions, small finance banks, etc. What is more worrisome is that the average time lag between the detection of frauds in 2020-21 and their occurrence was 23 months. For frauds of Rs 100 crore and above, the average lag was 57 months.

Union minister of state for finance Bhagwat Kishanrao Karad informed Lok Sabha in December last year that Maharashtra had reported the highest number of card/internet frauds in 2020-21—26,522 cases involving Rs 66.9 crore. Next was Delhi (7,774 cases, Rs 18.9 crore), followed by Tamil Nadu (5,659 cases, Rs 16.08 crore), Haryana (5,605 cases, Rs 22.5 crore) and Gujarat (4,671 cases, Rs 13.3 crore).

In October 2021, the Delhi police arrested three HDFC Bank employees and nine others for allegedly attempting to steal Rs 5 crore from the account of a US-based NRI (non-resident Indian), which had Rs 200 crore. K.P.S. Malhotra, deputy commissioner of police (cyber crime), Delhi police, says one of the bank employees had obtained a cloned cheque book while the other two had tried to change the registered mobile number and remove the debit freeze on the dormant account.

According to police, 66 unsuccessful attempts were made to access the account through internet banking. "We have suspended (the suspected) bank staff pending the outcome of the investigation. The bank is extending full support to the law enforcement agencies in the investigation," said an HDFC Bank official over email.

In December 2019, the All India Institute of Medical Sciences filed a complaint with the Delhi police EOW about Rs 12 crore missing from its two State Bank of India (SBI) accounts due to the bank honouring fake cheques. A month later, police in Uttar Pradesh's Azamgarh arrested a five-member gang, including an SBI official, for alleged involvement. Triveni Singh, superintendent of police (cyber crime), UP police, said the gang was expert in making counterfeit cheques and had, with the help of the SBI employee, accessed the bank's data. An email from INDIA TODAY to SBI seeking its version on the case did not elicit a response.

HOW THE FRAUDS DO IT



STEP 1
Bank accounts of government departments, institutions, colleges, etc. are the preferred targets of conmen because they usually have huge funds and are not monitored regularly. This is usually an insider job—someone in the bank.



STEP 2
The image of a cheque of the bank account is sourced. Fake cheques with identical account name, number, MICR code and other details are designed and printed. The signature of the account holder is also accessed with the help of conniving bank officials.

Icons by RAJ VERMA

THE MPLADS ACCOUNT SCAM

Apart from filing the FIR in the MPLADS case, BOB had initiated action against two employees at its Savedi branch in Ahmednagar for clearing the fake cheques. The Maharashtra police also arrested two persons, Sandeep Kothari and Ganesh Gawde, to whose accounts the funds were initially moved. They were sent to judicial custody but did not reveal where the stolen funds were transferred further.

The breakthrough came after the Bihar police EOW began investigations. "We got to the bottom of the case. It had multiple layers and involved a team of scamsters," says Nayyar Hasnain Khan, Bihar additional director general of police, EOW. Police say Kothari and Gawde confessed to